



Bender Trust

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APPLIED MATERIALS®

Company Overview

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APPLIED MATERIALS®

- World leader in materials engineering, offering tools, software, and services used to produce almost every advanced semiconductor chip and displays
- Supplies major semiconductor fabs and display makers across the world
- Connects with clients via joint development programs to improve next-generation manufacturing technologies

1-Year Performance (YTD)

Market Cap: \$175.445B
Current Share Price: \$219.75
52-Week Range: \$123.74 - \$242.50





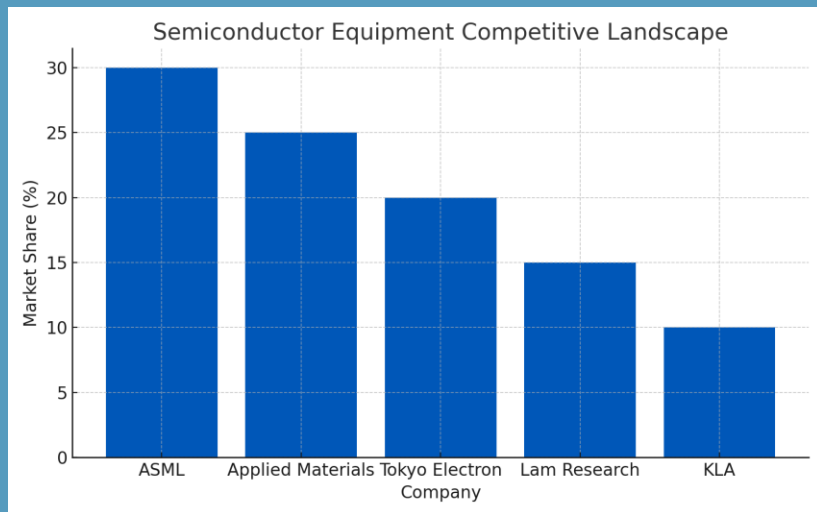
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Industry Analysis

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Market Overview

- \$125B market by 2025
- High barriers to entry
- Growth driven by AI + 2 nm nodes

Key Trends

- AI compute demand
- Advanced packaging (3D/hybrid bonding)
- Global fab expansion (CHIPS Act)

Why It Matters for AMAT

- Broadest tool portfolio
- Recurring service revenue
- Direct beneficiary of AI-driven capex



Porter's Five Forces

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Threat of New Entrants	Low →	Very high barriers to entry due to expensive initial investments and deep knowledge required
Buyer Bargaining Power	Moderate →	Established customers (Intel, Samsung, TSMC) AMAT is specialized.
Supplier Bargaining Power	Moderate →	Few suppliers. Long-term contracts
Threat of Substitutes	Low →	Highly specialized products and aggressive R&D
Industry Rivalry	High →	Fierce competition from companies such as Lam Research (LRCX) and Tokyo Electron (TEL)



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Investment Thesis

(BUY)



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1. Pick and Shovel Company:

Producer of the machines that produce AI chips. Demand for fabrication and packaging investment. Direct beneficiary of AI infrastructure expansion.

2. Applied Global Services (AGS):

Built-in stabilizer, providing steady, recurring revenue. AGS revenue depends on the use of existing fabs, not new factor construction. AGS delivered \$1.6B in revenue at a 28% operating margin in the most recent quarter.



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3. Stock in BESI:

In 2025, Applied took a 9% stake in BE semiconductor industries (BESI). Allows for integration of hybrid bonding and with its disposition and etch systems, giving it a competitive edge in 3-D chip stacking, HBM memory, and AI processor packaging. Targeting over \$3B a year in high-speed AI memory (HBM/DRAM).

4. AZ Equipment & Process Center:

Applied Materials recently announced the construction of a \$270M next-gen R&D and equipment center in Chandler, Arizona. Collaboration with key chip manufacturers such as TSMC and Intel. Aligns with the U.S. CHIPS Act. Advanced packaging, deposition, and etch processes.

Risks and Mitigants

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Tariffs

Risk:

Trump's talk about a **100% tariff** on imported **semiconductors**

Mitigant:

- Domestic **chip** production
- Arizona Facility (\$200 million)
- Spending \$400 million in USA over the past 5 years



China

Risk:

New **export** restrictions on services and goods for China-dependent customers

Mitigant:

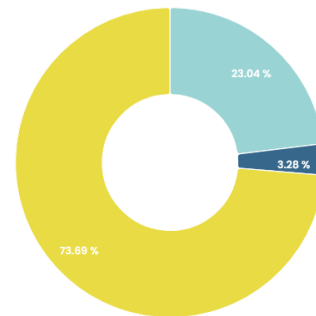
- Lessening **dependence** on China



Cyclical Demands of Semiconductors

Risk:

Semiconductor companies are challenged by **cyclical** demands.



■ Applied Global Services ■ Display ■ Semiconductor Systems

Mitigant:

- Display market
- Applied Global Services (ASG)
- **Recurring** revenue

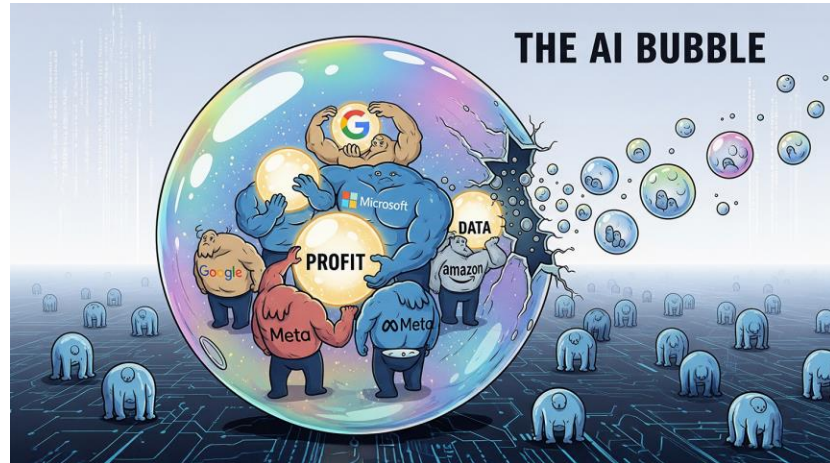
AI Bubble

Risk:

Large amounts of **capital** spending into semiconductor companies have created a potential **AI bubble**.

Mitigant:

- Display market
- Applied Global Services (ASG)
- **Recurring** revenue



Financial Analysis

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Income Statement Model:

	2020A	2021A	Historical 2022A	2023A	2024A	2025E	2026E	Projected 2027E	2028E	2029E
Revenue	\$17,202.0	\$23,063.0	\$25,785.0	\$26,517.0	\$27,176.0	\$29,025.83	\$31,042.50	\$33,402.33	\$36,094.44	\$38,152.64
Cost of operations	9,510.0	12,149.0	13,792.0	14,133.0	14,279.0	\$15,516.67	\$16,481.37	\$17,762.03	\$19,171.03	\$20,250.15
Gross profit	7,692.0	10,914.0	11,993.0	12,384.0	12,897.0	13509.2	14561.1	15640.3	16923.4	17902.5
margin	44.72%	47.32%	46.51%	46.70%	47.46%	46.54%	46.91%	46.82%	46.89%	46.92%
Research, development and engineering	2,234.0	2,485.0	2,771.0	3,102.0	3,233.0	3,373.0	3,522.5	3,828.5	4,188.7	4,420.5
Marketing and selling	526.0	609.0	703.0	776.0	836.0	837.5	885.0	966.4	1,056.3	1,116.5
General and administrative	567.0	620.0	735.0	852.0	961.0	904.7	956.4	1,055.3	1,162.7	1,229.6
Restructuring charges	0.0	157.0	(4.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Deal termination fee	0.0	154.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EBIT	4,365.0	6,889.0	7,788.0	7,654.0	7,867.0	8,394.0	9,197.2	9,790.1	10,515.7	11,135.9
margin	25.37%	29.87%	30.20%	28.86%	28.95%	28.92%	29.63%	29.31%	29.13%	29.19%
Interest expense	240.0	236.0	228.0	238.0	247.0	296.6	294.0	311.3	339.8	362.5
Interest and other income (expense), net	41.0	118.0	39.0	300.0	532.0	532.0	532.0	532.0	532.0	532.0
EBT	4,166.0	6,771.0	7,599.0	7,716.0	8,152.0	8,629.4	9,435.2	10,010.8	10,707.9	11,305.3
Provision for income taxes	547.0	883.0	1074.0	860.0	975.0	1812.2	1981.4	2102.3	2248.7	2374.1
Net income attributable to Applied Materials	3,619.0	5,888.0	6,525.0	6,856.0	7,177.0	6,817.2	7,453.8	7,908.5	8,459.2	8,931.2
margin	21.04%	25.53%	25.31%	25.86%	26.41%	23.49%	24.01%	23.68%	23.44%	23.41%
Depreciation & Amortization	376.0	394.0	444.0	515.0	392.0	392.0	392.0	392.0	392.0	392.0
EBITDA	4,871.0	7,668.0	8,301.0	8,171.0	8,259.0	8,786.0	9,589.2	10,182.1	10,907.7	11,527.9
margin	28.32%	33.25%	32.19%	30.81%	30.39%	30.27%	30.89%	30.48%	30.22%	30.22%
Earnings per share:										
Basic	3.95	6.47	7.49	8.16	8.68	8.24	9.01	9.56	10.23	10.80
Diluted	3.92	6.40	7.44	8.11	8.61	8.17	8.94	9.48	10.14	10.71
Shares Outstanding										
Basic	916.0	910.0	871.0	840.0	827.0	827.0	827.0	827.0	827.0	827.0
Diluted	923.0	919.0	877.0	845.0	834.0	834.0	834.0	834.0	834.0	834.0
Forecast										
Cost of operations	55.28%	52.68%	53.49%	53.30%	52.54%	53.46%	53.09%	53.18%	53.11%	53.08%
Research, development and engineering	12.99%	10.77%	10.75%	11.70%	11.70%	11.62%	11.35%	11.46%	11.60%	11.59%
Marketing and selling	3.06%	2.64%	2.73%	2.93%	3.08%	2.89%	2.85%	2.89%	2.93%	2.93%
General and administrative	3.30%	2.69%	2.85%	3.21%	3.54%	3.12%	3.08%	3.16%	3.22%	3.22%
Interest expense	1.40%	1.02%	0.88%	0.90%	0.91%	1.02%	0.95%	0.93%	0.94%	0.95%
Taxes	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%

Revenue Build:

	2020A	2021A	Historical 2022A	2023A	2024A	2025E	2026E	Projected 2027E	2028E	2029E
Revenue	\$17,202.0	\$23,063.0	\$25,785.0	\$26,517.1	\$27,176.0	\$29,025.8	\$31,042.5	\$33,402.3	\$36,094.4	\$38,152.6
YoY Growth		34.07%	11.80%	2.84%	2.48%	6.8%	6.9%	7.0%	8.1%	5.7%
Foundry, logic and other	6,706.5	9,771.6	12,406.0	15,167.5	13,539.5	14,622.7	16,011.8	17,693.1	19,020.0	20,256.3
Dynamic random access memory (DRAM)	2,273.4	3,094.3	3,571.4	3,348.7	5,575.1	6,104.7	6,623.6	7,120.4	7,583.2	8,000.3
Flash memory	2,387.1	3,420.1	2,819.6	1,181.9	796.4	836.2	886.4	935.1	977.2	1,011.4
Semiconductor Systems Total	11,367.0	16,286.0	18,797.0	19,698.1	19,911.0	21,404.3	23,009.6	24,963.5	27,212.4	28,845.1
Applied Global Services Total	4,155.0	5,013.0	5,543.0	5,732.0	6,225.0	6,536.3	6,895.7	7,240.5	7,638.8	8,020.7
Display and Adjacent Total	1,607.0	1,634.0	1,311.0	868.0	885.0	924.8	971.1	1,024.5	1,065.5	1,102.7
Corporate and Other Total	73.0	130.0	114.0	219.0	155.0	160.4	166.0	171.9	177.9	184.1
Forecast										
Foundry, logic and other	-	45.70%	26.96%	22.26%	(10.73%)	8.00%	9.50%	10.50%	7.50%	6.50%
Dynamic random access memory (DRAM)	-	36.11%	15.42%	(6.24%)	66.49%	9.50%	8.50%	7.50%	6.50%	5.50%
Flash memory	-	43.27%	(17.56%)	(58.08%)	(32.62%)	5.00%	6.00%	5.50%	4.50%	3.50%
Semiconductor Systems Total	-	43.27%	15.42%	-4.79%	1.08%	7.50%	8.50%	9.00%	6.00%	5.00%
Applied Global Services Total	-	20.65%	10.57%	3.41%	8.60%	5.00%	5.50%	5.00%	5.50%	5.00%
Display and Adjacent Total	-	1.68%	(18.54%)	(34.79%)	1.90%	4.50%	5.00%	5.50%	4.00%	3.50%
Corporate and Other Total	-	78.08%	(12.31%)	92.11%	(29.22%)	3.50%	3.50%	3.50%	3.50%	3.50%

Comps:

(As of 11/8/2025)		Market Cap	EV	LTM		
Company	Ticker	(\$B)	(\$B)	EV/EBITDA	EV/Revenue	P/E
Applied Materials	AMAT	183.28	177.87	18.54x	6.22x	27.49x
Lam Research Corp	LCRX	200.15	183.45	28.13x	9.95x	35.18x
KLA Corporation	KLAC	156.80	151.62	28.39x	12.47x	37.46x
Tokyo Electron Limited	TOELY	98.23	84.22	16.31x	5.09x	27.94x
Texas Instruments Incorporated	TXN	145.88	174.44	21.94x	10.46x	29.24x
QUALCOMM Incorporated	QCOM	183.02	186.97	12.78x	04.32x	34.11x
Average				21.51x	8.46x	32.79x
Median				21.94x	9.95x	34.11x
High				28.39x	12.47x	37.46x
Low				12.78x	4.32x	27.94x

Valuation

EV / EBITDA Valuation Summary

EBITDA	8,259.0
Multiple	28.4
Total Enterprise Value	234,473.0
(-) Debt	6,259.0
(+) Cash	8,022.0
Total Equity Value	236,236.0
Shares Outstanding	834.0
Implied Share Price	219.4
Current Price (As of 11/7/25)	230.1
Upside (Downside)	(4.65%)

EV / Revenue Valuation Summary

Revenue	27,176.0
Multiple	12.5
Total Enterprise Value	338,884.7
(-) Debt	6,259.0
(+) Cash	8,022.0
Total Equity Value	340,647.7
Shares Outstanding	834.0
Implied Share Price	326.3
Current Price (As of 11/7/25)	230.1
Upside (Downside)	41.8%

P / E Valuation Summary

EPS	8.68
Multiple	37.46
Total Enterprise Value	245,184.4
(-) Debt	6,259.0
(+) Cash	8,022.0
Total Equity Value	246,947.4
Shares Outstanding	834.0
Implied Share Price	296.1
Current Price (As of 11/7/25)	230.1
Upside (Downside)	28.7%



Questions?

